SAUDI BASIC INDUSTRIES CORPORATION (SABIC) AND ITS SUBSIDIARIES

(A Saudi Joint Stock Company)

INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS FOR THE THREE MONTHS PERIOD ENDED 31 MARCH 2018

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Independent auditor's review report on the interim condensed consolidated financial statements to the shareholders of Saudi Basic Industries Corporation (SABIC) (A Saudi Joint Stock Company)

Introduction

We have reviewed the accompanying interim condensed consolidated statement of financial position of Saudi Basic Industries Corporation ("SABIC") and its subsidiaries (collectively with SABIC referred to as "the Group") as at 31 March 2018, and the related interim condensed consolidated statements of income, comprehensive income, changes in equity and cash flows for the three month period ended 31 March 2018, and a summary of significant accounting policies and other explanatory notes. Management is responsible for the preparation and presentation of these interim condensed consolidated financial statements in accordance with International Accounting Standard 34, "Interim Financial Reporting" ("IAS 34") endorsed in the Kingdom of Saudi Arabia. Our responsibility is to express a conclusion on these interim condensed consolidated financial statements based on our review.

Scope of Review

We conducted our review in accordance with International Standard on Review Engagements 2410, "Review of Interim Financial Information Performed by the Independent Auditor of the Entity" endorsed in the Kingdom of Saudi Arabia. A review of interim financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our review, nothing has come to our attention that causes us to believe that the accompanying interim condensed consolidated financial statements are not prepared, in all material respects, in accordance with IAS 34 endorsed in the Kingdom of Saudi Arabia.

for Ernst & Young

Rashid S. AlRashoud
Certified Public Accountant
License No. (366)

Riyadh: 13 Sha'aban 1439H
(29 April 2018)

SAUDI BASIC INDUSTRIES CORPORATION (SABIC) AND ITS SUBSIDIARIES
(A Saudi Joint Stock Company)

INTERIM CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL POSITION
(All amounts in Saudi Riyals '000 unless otherwise stated)

	Notes	As at 31 March 2018	As at 31 December 2017
ASSETS			
Non-current assets:			
Property, plant and equipment		166,271,007	167,355,911
Intangible assets		13,636,880	13,542,397
Investment in associates and joint ventures		14,889,435	14,304,140
Deferred tax assets		1,401,875	1,518,599
Other non-current assets	5	9,415,174	7,970,904
Total non-current assets		205,614,371	204,691,951
Current assets:			
Inventories		25,681,404	26,062,995
Trade receivables		25,336,108	22,609,432
Prepayments and other current assets	6.1	15,379,348	5,701,316
Short-term investments		7,468,924	4,351,072
Cash and bank balances		59,963,960	59,038,656
Total current assets		133,829,744	117,763,471
TOTAL ASSETS		339,444,115	322,455,422
EQUITY AND LIABILITIES			
Equity attributable to equity holders of the Parent		171,326,406	163,921,633
Non-controlling interests		46,559,572	46,216,859
Total equity		217,885,978	210,138,492
Non-current liabilities:			
Long-term debt		41,146,046	41,624,732
Employee benefits		16,540,579	17,635,036
Deferred tax liabilities		2,590,670	2,597,059
Other non-current liabilities		2,310,099	2,160,697
Total non-current liabilities		62,587,394	64,017,524
Current liabilities:			
Short-term borrowings and current portion of long-term debt	6.3	28,093,301	16,438,456
Trade payables and other current liabilities		30,877,442	31,860,950
Total current liabilities		58,970,743	48,299,406
Total liabilities		121,558,137	112,316,930
TOTAL EQUITY AND LIABILITIES		339,444,115	322,455,422

Executive Vice President Finance (A) | Chief Executive Officer | Authorized Board of Directors Member

The notes on page 8 to 17 form an integral part of these interim condensed consolidated financial statements.

SAUDI BASIC INDUSTRIES CORPORATION (SABIC) AND ITS SUBSIDIARIES
(A Saudi Joint Stock Company)

INTERIM CONDENSED CONSOLIDATED STATEMENT OF INCOME
(All amounts in Saudi Riyals '000 unless otherwise stated)

	Notes	For the three months period ended 31 March 2018	For the three months period ended 31 March 2017
Sales		41,861,596	36,320,795
Cost of sales	6.2	(27,648,285)	(22,786,778)
Gross profit		14,213,311	13,534,017
General and administrative expenses	6.2	(2,663,482)	(2,703,686)
Selling and distribution expenses	6.2	(2,605,138)	(2,493,948)
Income from operations		8,944,691	8,336,383
Share of results of associates and joint ventures		366,223	380,603
Finance cost, net		(268,248)	(221,405)
Other income, net		24,586	237,345
Income before zakat and income tax		9,067,252	8,732,926
Zakat expense		(650,000)	(650,000)
Income tax expense		(709,000)	(350,000)
Net income for the period		7,708,252	7,732,926
Attributable to:			
Equity holders of the Parent		5,508,081	5,234,518
Non-controlling interests		2,200,171	2,498,408
		7,708,252	7,732,926
Basic and diluted earnings per share (Saudi Riyals)			
Earnings per share from income from operations		2.98	2.78
Earnings per share from net income attributable to equity holders of the Parent		1.84	1.74

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SAUDI BASIC INDUSTRIES CORPORATION (SABIC) AND ITS SUBSIDIARIES
(A Saudi Joint Stock Company)

INTERIM CONDENSED CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME
(All amounts in Saudi Riyals '000 unless otherwise stated)

	For the three months period ended 31 March 2018	For the three months periods ended 31 March 2017
Net income for the period	7,708,252	7,732,926
Other comprehensive income		
Items that will not be reclassified to the consolidated statement of income (net of tax):		
- Re-measurement gain on defined benefit plans and others	496,394	-
Items that will be reclassified to the consolidated statement of income (net of tax):		
- Exchange difference on translation of foreign operations and others	618,535	375,036
- Share of other comprehensive income of associates and joint ventures	534,180	(190,601)
Movement of other comprehensive income	1,649,109	184,435
Total comprehensive income for the period	9,357,361	7,917,361
Attributable to:		
Equity holders of the Parent	7,064,158	5,418,953
Non-controlling interests	2,293,203	2,498,408
	9,357,361	7,917,361

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INTERIM CONDENSED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
(All amounts in Saudi Riyals '000 unless otherwise stated)

	Attributable to the equity holders of the Parent							
	Share capital	Statutory reserve	General reserve	Other reserves	Retained earnings	Total	Non-controlling interests	Total equity
Balance as at 1 January 2017	30,000,000	15,000,000	110,889,032	(5,307,983)	6,953,960	157,535,009	44,544,030	202,079,039
Net income for the period	-	-	-	-	5,234,518	5,234,518	2,498,408	7,732,926
Other comprehensive income	-	-	-	184,435	-	184,435	-	184,435
Total comprehensive income	-	-	-	184,435	5,234,518	5,418,953	2,498,408	7,917,361
Dividends, net	-	-	-	-	-	-	(1,119,738)	(1,119,738)
Balance as at 31 March 2017	30,000,000	15,000,000	110,889,032	(5,123,548)	12,188,478	162,953,962	45,922,700	208,876,662
Balance as at 31 December 2017	30,000,000	15,000,000	110,889,032	(2,249,663)	10,282,264	163,921,633	46,216,859	210,138,492
Adoption of IFRS 9 & IFRS 15 (Note 4)	-	-	-	389,025	(48,410)	340,615	1,539	342,154
Balance as at 1 January 2018	30,000,000	15,000,000	110,889,032	(1,860,638)	10,233,854	164,262,248	46,218,398	210,480,646
Net income for the period	-	-	-	-	5,508,081	5,508,081	2,200,171	7,708,252
Other comprehensive income	-	-	-	1,556,077	-	1,556,077	93,032	1,649,109
Total comprehensive income	-	-	-	1,556,077	5,508,081	7,064,158	2,293,203	9,357,361
Dividends, net	-	-	-	-	-	-	(1,952,029)	(1,952,029)
Balance as at 31 March 2018	30,000,000	15,000,000	110,889,032	(304,561)	15,741,935	171,326,406	46,559,572	217,885,978

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INTERIM CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS
(All amounts in Saudi Riyals '000 unless otherwise stated)

	Notes	For the three months period ended 31 March 2018	For the three months period ended 31 March 2017
Operating activities:			
Income before zakat and income tax		9,067,252	8,732,926
Adjustment to reconcile income before zakat and tax to net cash inflow from operating activities:			
- Depreciation and amortisation expenses		3,655,687	3,425,989
- Provisions and other movements		(127,860)	(324,352)
- Finance costs		592,749	584,627
Changes in operating assets and liabilities:			
Increase in other non-current assets		(1,116,782)	(548,425)
Increase in working capital		(4,010,440)	(1,327,843)
(Decrease) increase in employee benefits		(738,321)	144,512
Increase (decrease) in other non-current liabilities		150,332	(12,640)
Cash from operations		7,472,617	10,674,794
Finance cost paid		(194,720)	(219,462)
Zakat and income tax paid		(230,168)	(407,913)
Net cash from operating activities		7,047,729	10,047,419
Investing activities:			
Purchase of tangible and intangible assets, net		(1,916,830)	(2,426,370)
Short-term investments, net		(3,031,852)	3,891,723
Other assets movements	6.1	(10,821,856)	(671)
Investment in associates and joint ventures, net		219,882	(66,131)
Net cash (used in) from investing activities		(15,550,656)	1,398,551
Financing activities:			
Proceeds from debt	6.3	11,450,000	425,000
Debt and lease repayments		(262,543)	(927,073)
Dividends, net		(1,952,029)	(1,119,738)
Net cash from (used in) financing activities		9,235,428	(1,621,811)
Net increase in cash and cash equivalents		732,501	9,824,159
Cash and cash equivalents at the beginning of the year		57,973,656	40,247,740
Cash and cash equivalents at the end of the period		58,706,157	50,071,899
Cash and bank balances		59,963,960	50,071,899
Less: bank overdrafts		(1,257,803)	-
Cash and cash equivalents		58,706,157	50,071,899

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The notes on page 8 to 17 form an integral part of these interim condensed consolidated financial statements.

1. Corporate information

Saudi Basic Industries Corporation ("SABIC" or "the Parent") is a Saudi Joint Stock Company established pursuant to Royal Decree Number M/66 dated 13 Ramadan 1396H (corresponding to 6 September 1976) registered in Riyadh under commercial registration No. 1010010813 dated 14 Muharram 1397H (corresponding to 4 January 1977). SABIC is 70% owned by the Government of the Kingdom of Saudi Arabia ("KSA") and 30% by the private sector. The registered office is located at Qurtubah district, P.O. Box 5101, Riyadh 11422, KSA.

SABIC and its subsidiaries (collectively the "Group") are engaged in the manufacturing, marketing and distribution of chemicals, polymers, plastics, agri-nutrients and metal products in global markets.

The interim condensed consolidated financial statements of the Group for the period ended 31 March 2018 were authorised for issue in accordance with a resolution of the Board of Directors on 28 April 2018.

2. Basis of preparation

These interim condensed consolidated financial statements for the three months period ended 31 March 2018 have been prepared in accordance with IAS 34 *'Interim Financial Reporting'* ("IAS 34") as endorsed in the KSA and other standards and pronouncements that are issued by the Saudi Organization for Certified Public Accountants ("SOCPA").

The interim condensed consolidated financial statements do not include all the information and disclosures required in the annual consolidated financial statements, and should therefore be read in conjunction with the Group's annual consolidated financial statements for the year ended 31 December 2017.

3. Summary of significant accounting polices

The accounting policies adopted in the preparation of the interim condensed consolidated financial statements are consistent with those followed in the preparation of the Group's annual consolidated financial statements for the year ended 31 December 2017, except for the adoption of new standards effective as of 1 January 2018. The Group has not early adopted any new standard, interpretation or amendment that has been issued but which are not yet effective.

The Group has adopted IFRS 9 *'Financial Instruments'* ("IFRS 9") and IFRS 15 *'Revenue from Contracts with Customers'* ("IFRS 15") on their effective date 1 January 2018. IFRS 9 replaces IAS 39 *'Financial Instruments: Recognition and Measurement'* ("IAS 39") bringing together all three aspects of the accounting for financial instruments: classification and measurement; impairment; and hedge accounting. IFRS 15 replaces IAS 18 *'Revenue'* ("IAS 18") which covers revenue arising from the sale of goods and the rendering of services. The accounting policies affected by these new standards are disclosed below.

3.1 Financial instruments

Classification of financial assets depends on the Group's business model for managing its financial assets and the contractual terms of the cash flows. The Group classifies its financial assets as:

- financial assets measured at amortised cost, or
- financial assets measured at fair value.

Gains or losses of assets measured at fair value will be recognised either through the consolidated statement of income or through the consolidated statement of other comprehensive income ("OCI").

3. Summary of significant accounting polices (continued)

3.1 Financial instruments (continued)

Loans as well as trade receivables are held to collect contractual cash flows and are expected to give rise to cash flows representing solely payments of principal and interests, are measured at amortised cost.

Initial measurement

Financial assets are initially measured at its fair value, plus transaction costs in the case of a financial asset not at fair value through income statement. Transaction costs of financial assets carried at fair value through income statement are recognised in the consolidated statement of income.

Financial assets with embedded derivatives are considered in their entirety when determining whether their cash flows meet the requirements as solely payment of principal and interest.

Subsequent measurement

Debt instruments
The Group recognises three classifications to subsequently measure its debt instruments:

- *Amortised cost*
  Financial assets held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest (SPPI) are measured at amortised cost. A gain or loss on a debt investment subsequently measured at amortised cost and not part of a hedging relationship is recognised in the consolidated statement of income when the asset is derecognised or impaired. Interest income from these financial assets is included in finance income using the effective interest rate method.

- *Fair Value through Other Comprehensive Income ("FVOCI")*
  Financial assets held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at FVOCI. Movements in the carrying amount are taken through OCI, except for the recognition of impairment gains or losses, interest revenue and foreign exchange gains and losses, which are recognised in the consolidated statement of income. When the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI, is reclassified from equity to the consolidated statement of income and recognised in other gains/(losses). Interest income from these financial assets is included in finance income using the effective interest rate method. Foreign exchange gains and losses are presented in other income/expense.

- *Fair Value through Income Statement ("FVIS")*
  Financial assets that do not meet the criteria for subsequent recognition at amortised cost or FVOCI, are measured at fair value through income statement. A gain or loss on a debt investment that is subsequently measured at fair value through the income statement and which is not part of a hedging relationship is recognised and presented net in the consolidated statement of income in the period in which it arises.

Equity instruments
The Group measures all equity investments at fair value and presents changes in fair value of equity investments in OCI. Dividends from such investments continue to be recognised in consolidated statement of income as other income when the Group's right to receive payments is established. There shall be no subsequent reclassification of changes in fair value through the consolidated statement of income.

3. Summary of significant accounting polices (continued)

3.1 Financial instruments (continued)

De-recognition

A financial asset or a part of a financial asset is de-recognised when:

- The rights to receive cash flows from the asset have expired, or
- The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either:
  a) The Group has transferred substantially all the risks and rewards of the asset, or
  b) The Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

Impairment

The Group assesses on a forward looking basis the Expected Credit Losses ("ECL") associated with its debt instruments as part of its financial assets, carried at amortised cost and FVOCI, the ECL is based on a 12-month ECL and life time ECL. The 12-month ECL is the portion of lifetime ECLs that results from default events on a financial instrument that are possible within 12 months after the reporting date. However, when there has been a significant increase in credit risk since origination, the allowance will be based on the lifetime ECL. For accounts receivables, the Group applies the simplified approach, which requires expected lifetime losses to be recognised from initial recognition of the receivables.

3.2 Revenue recognition

Revenue is recognised at an amount that reflects the consideration to which an entity expects to be entitled in exchange for transferring goods or services to a customer. This is based on the principle that revenue is recognised when control of a good or service transfers to a customer.

Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes or duty. Revenue arrangements are assessed against specific criteria to determine whether the Group is acting as a principal or agent.

Specific recognition criteria described below must be met before revenue is recognised. Where there are no specific criteria, above policy will apply and revenue is recorded as earned and accrued.

Sales revenue

The Group recognises revenue when control of the products sold, transfers to the customer, which shall be considered in the context of five-step approach and applying the applicable shipping terms.

Rights of return

When a contract with a customer provides a right of return of the good within a specified period, the Group accounts for the right of return when requested by the customer and contractual conditions are met.

Allocation of performance obligations

In certain instances, the Group determines delivery services as separately identifiable and distinct from the sale of goods. These are when the Group transfers control of goods at the Group's loading site and provides delivery services to the buyer's site. The Group allocates a portion of the total transaction price to delivery services based on best estimate of a similar stand-alone service.

3. Summary of significant accounting polices (continued)

3.2 Revenue recognition (continued)

Sales revenue (continued)

Variable pricing – preliminary pricing
Certain products in certain markets may be sold with variable pricing arrangements. Such arrangements determine that a preliminary price is charged to the customer at the time of transfer of control of the products while the final price for the products can only be determined by reference to a time period ending after that time. In such cases, and irrespective of the formula used for determining preliminary and final prices, revenue is recorded at the time of transfer of control of the products at an amount representing the expected final amount of consideration that the Group receives.

Where the Group records an 'accounts receivable' for the preliminary price, subsequent changes in the estimated final price shall not be recorded as revenue until such point in time at which the actual final price is determined (as long as these changes result from changes in the market price/market price index of the products). They may however be considered in subsequent re-measurement as a financial asset at fair value. Such re-measurement may be recorded as a separate revenue.

All other updates to the preliminary price is recorded against revenue with the additional receivable amount recorded under a contract asset or contract liability. Such contract asset or liability is derecognised against an accounts receivable at the point in time at which the actual final price is determined.

Variable pricing – volume rebates
The Group provides retrospective volume rebates to its customers on products purchased by the customer once the quantity of products purchased during the period exceeds a threshold specified in the contract. The Group estimates the expected volume rebates using a prudent assessment of the expected amount of rebates, reviewed on a regular basis and updated, if deemed necessary. These amounts will subsequently be repaid in cash to the customer or are offset against amounts payable by the customer; if allowed by the contract.

Under IFRS 15, volume rebates give rise to variable consideration. The Group considers the "most likely amount" method to be the best estimate of this variable consideration.

Rendering of services

In certain instances, the Group provides logistic services for goods sold. This service is satisfied over the period of delivery. Consequently, the Group defers revenue allocated to the logistic services and recognise it over that period.

3.3 Significant accounting estimates, assumptions and judgements

By adopting IFRS 9, the Group is required to make judgements about:
- The regional and business related risk profiles of the Group's customers to assess the expected credit losses on trades receivable.
- The basis to determine the fair value of its equity investments, in reference to similar kind of investments being sold in the market. The selection of the investments to determine the basis requires judgement by management to recognise equity investments at fair value through other comprehensive income. For fair value determination, these investments qualify as level 3 items.

For IFRS 15, management is required to make judgement and estimation of revenue and timing of when the logistic revenue that has been provided to Group's customers.

4. Adoption of IFRS 9 and IFRS 15

4.1 IFRS 9 - Financial Instruments

The Group adopted the new standard and has not restated comparative information. The difference between the carrying amounts of the financial assets resulting from adopting IFRS 9, are recognised in retained earnings and reserves as at 1 January 2018. Accordingly, the information presented for 2017 does not reflect the requirements of IFRS 9 and therefore is not comparable to the information presented for 2018 under IFRS 9. The financial liabilities are not affected.

The following assessments have been made based on the facts and circumstances at the date of initial application:

- The determination of the business model within which a financial asset is held
- The designation and revocation of previous designated financial assets as measured at FVIS
- The designation of certain investments in equity instruments not held for trading as FVOCI
- The designation of debt instruments as financial assets at amortised cost

The following table shows changes in measurement and classification of the different categories in accordance with IAS 39 and the new measurement and classification categories in accordance with IFRS 9 for the Group's financial assets as per 1 January 2018:

	Measurement under IAS 39	Measurement under IFRS 9	Carrying value under IAS 39	Carrying value under IFRS 9	Changes on adoption of IFRS 9
Financial assets:					
Held-to-maturity investments *	Amortised cost	FVIS	375,000	388,404	13,404
Held-to-maturity investments *	Amortised cost	Amortised cost	2,680,161	2,680,161	-
Available-for-sale financial assets *	Cost	FVOCI	696,243	1,085,543	389,300
Trade receivables	Amortised cost	Amortised cost **	22,609,432	22,569,822	(39,610)
Other receivables	Amortised cost	Amortised cost	2,001,134	2,011,288	10,154

* Held-to-maturity investments and available-for-sale financial assets have been classified as investments in debt instruments and investment in equity instruments respectively. (Note 5)

** Trade receivables includes certain receivables with provisional pricing that qualifies for FVIS.

4. Adoption of IFRS 9 and IFRS 15 (continued)

4.2 IFRS 15 - Revenue from Contracts with Customers

The Group adopted IFRS 15 resulting in a change in the revenue recognition of contracts with customers. The Group opted for the modified retrospective approach for the adoption without change in comparative financial information presented and has deferred revenue allocated to the logistic services.

4.3 Comparative financial information

The adoption of IFRS 9 and IFRS 15 has resulted in a change in the non-controlling interests, other reserves and retained earnings as follows:

	Non-controlling interests	Other reserves	Retained earnings
Balance as at 31 December 2017	46,216,859	(2,249,663)	10,282,264
IFRS 9 adjustments			
- Re-measurement of investments at FVOCI	-	389,300	-
- Re-measurement of investments at FVIS	-	-	13,404
- Recognition of provision based on ECL	1,539	-	(30,995)
- Recognition of related currency translation and deferred taxes	-	(275)	8,616
	1,539	389,025	(8,975)
IFRS 15 adjustment			
Deferral of revenue relating to logistic services	-	-	(39,435)
Total IFRS 9 & IFRS 15 adjustments	1,539	389,025	(48,410)
Opening balance as at 1 January 2018 (restated)	46,218,398	(1,860,638)	10,233,854

5. Other non-current assets

	As at 31 March 2018	As at 31 December 2017
Held to maturity investments (Note 4)	-	3,055,161
Available-for-sale investments (Note 4)	-	696,243
Investments in equity instruments at FVOCI	1,104,436	-
Investments in debt instruments at FVIS	388,404	-
Investments in debt instruments at amortised cost	2,594,005	-
Others	5,328,329	4,219,500
	9,415,174	7,970,904

6. Significant matters during the quarter

6.1 Acquisition of a stake in Clariant AG

On 25 January 2018, SABIC, acquired approximately 83 million shares in Clariant AG, a global specialty chemicals company listed on the Swiss stock exchange. The closing of the transaction is subject to completing regulatory approvals. Consequently, the advance payment for this acquisition is recognised at cost, as part of prepayments and other current assets.

6.2 Strategic workforce optimization initiative

As a result of a strategic workforce optimization initiative in the first quarter of 2018, the Group has recorded a non-recurring restructuring expense of SR 1.38 billion which is mainly related to severance cost. This strategic initiative is expected to reduce the Group's cost base going forward.

6.3 Period funding

The Group is engaged in several global strategic growth initiatives. As a result, the Group has entered into a bridge loan amounting to SR 11.25 billion on 3 February 2018, with an interest rate of LIBOR plus 30 bps and maturing on 3 February 2019.

6.4 Fair value measurement

Derivative financial instruments, amounting to SR 15.12 million (as at 31 December 2017: SR 26.81 million) are valued at fair value and classified as Level 2 measurement.

Due to the adoption of IFRS 9, the measurement of the available-for-sale financial assets under IAS 39, changed from cost to FVOCI (Note 4 & Note 5). Since the valuation performed using a significant non-observable input, the fair value is classified as a level 3 measurement.

Description of valuation techniques used and key inputs to valuation investments in equity instruments is as follows:

Valuation technique	*Significant unobservable input*	*Range*
Market approach	• Equity value to EBITDA multiple	7.9 to 13.1
	• Midpoint of Net Asset Value and Price to Book multiple	0.76
Net Asset Value approach	Point estimate of distributable cash and cash equivalents and net assets	USD 12.3 to USD 13.3
Expected Returns approach	Equity value to Revenue multiple	0.73

At 31 March 2018, the fair values of Group's other financial assets and financial liabilities approximate the carrying value.

6.5 Related party transactions and balances

The significant transactions and balances are tabulated as follows:

	Sales to related parties	Purchases from related parties	Amounts owed by related parties	Amounts owed to related parties	Loans to related parties	Loans from related parties
	For the period ended 31 March 2018		As at 31 March 2018		As at 31 March 2018	
Associates	524	1,435,685	182,732	484,904	-	-
Joint ventures and partners	3,098,288	123,697	3,114,668	90,566	813,576	2,501,870
	For the period ended 31 March 2017		As at 31 December 2017		As at 31 December 2017	
Associates	-	1,279,634	201,453	157,464	-	-
Joint ventures and partners	3,963,033	163,924	2,976,637	40,614	814,850	2,491,245

7 Segment information

For management purpose, the Group is organised into four Strategic Business Units (SBUs), based on its products, grouped in three reporting segments. The performance of the segment is evaluated based on net income and is measured consistently.

Intersegment revenue may generally be recorded either at values that approximate third-party selling prices or at prices mutually agreed by management of the segments.

Transfer prices between operating segments are on an arm's length basis in a manner similar to transactions with third parties. The SBUs' financial details are shown below:

	For the three months period ended 31 March 2018					
	Petro-chemicals/ Specialties	Agri-Nutrients	Metals	Corporate	Eliminations/ adjustments	Consolidated
Sales	50,622,968	1,320,713	3,277,631	23,879,107	(37,238,823)	41,861,596
Depreciation and amortisation expenses	(3,146,861)	(190,090)	(242,066)	(76,670)	-	(3,655,687)
(Finance cost) / income, net	(1,064,172)	(7,139)	(30,067)	702,435	130,695	(268,248)
Other income / (expenses), net	247,217	(9,176)	(392)	216,703	(429,766)	24,586
Share of results of associates and joint ventures	262,540	19,586	-	103,683	(19,586)	366,223
Zakat and income tax	(463,033)	(11,400)	(30,000)	(414,715)	(439,852)	(1,359,000)
Net income attributable to equity holders of the Parent	7,485,492	274,633	27,875	5,632,905	(7,912,824)	5,508,081

7 Segment information (continued)

	For the three months period ended 31 March 2017					
	Petro-chemicals/ Specialties	Agri-Nutrients	Metals	Corporate	Eliminations/ adjustments	Consolidated
Sales	43,365,859	1,342,009	2,062,610	21,132,679	(31,582,362)	36,320,795
Depreciation and amortisation	(2,932,188)	(177,265)	(255,781)	(60,755)	-	(3,425,989)
(Finance cost) / income, net	(1,039,367)	(9,069)	(29,423)	963,541	(107,087)	(221,405)
Other income / (expenses), net	328,445	395	88,298	295,693	(475,486)	237,345
Share of results of associates and joint ventures	365,829	27,247	-	14,774	(27,247)	380,603
Zakat and income tax	(222,759)	(7,905)	(27,500)	(537,227)	(204,609)	(1,000,000)
Net income attributable to equity holders of the Parent	7,127,759	510,019	(34,654)	5,653,081	(8,021,687)	5,234,518

	As at 31 March 2018					
	Petro-chemicals/ Specialties	**Agri-Nutrients**	**Metals**	**Corporate**	**Eliminations/ adjustments**	**Consolidated**
Total assets	**287,655,768**	**10,324,977**	**18,582,183**	**221,590,009**	**(198,708,822)**	**339,444,115**
Investment in associates and joint ventures	**8,325,566**	**596,329**	**-**	**6,563,381**	**(595,841)**	**14,889,435**
Net additions (disposal) to non-current assets	**4,242,698**	**272,940**	**57,507**	**(775,676)**	**-**	**3,797,469**
Total liabilities	**173,893,059**	**3,044,075**	**5,299,203**	**51,505,662**	**(112,183,862)**	**121,558,137**

	As at 31 December 2017					
	Petro-chemicals/ Specialties	Agri-Nutrients	Metals	Corporate	Eliminations/ adjustments	Consolidated
Total assets	262,321,789	12,968,454	19,338,137	220,337,241	(192,510,199)	322,455,422
Investment in associates and joint ventures	7,839,776	599,380	-	6,428,512	(563,528)	14,304,140
Net additions (disposal) to non-current assets	9,302,765	493,839	286,188	(576,409)	-	9,506,383
Total liabilities	161,565,734	2,305,018	6,155,208	51,789,552	(109,498,582)	112,316,930

7 Segment information (continued)

Geographical distribution of sales

	For the three months period ended 31 March 2018		For the three months period ended 31 March 2017	
KSA	6,554,904	16%	5,142,629	14%
China	7,477,270	18%	6,276,710	17%
Rest of Asia	9,054,461	22%	7,823,393	22%
Europe	10,380,950	25%	8,998,836	25%
Americas	3,494,143	8%	3,378,363	9%
Others	4,899,868	11%	4,700,864	13%
	41,861,596	100%	36,320,795	100%

The revenue information above is based on the locations of the customers.

Geographical distribution of property, plant and equipment

	As at 31 March 2018		As at 31 December 2017	
KSA	141,561,549	85%	143,163,921	86%
Europe	15,450,806	9%	15,086,965	9%
Americas	7,555,647	5%	7,383,489	4%
Asia	1,700,540	1%	1,718,893	1%
Others	2,465	-	2,643	-
	166,271,007	100%	167,355,911	100%

8 Subsequent events

The Annual General Assembly ("AGA"), in its meeting held on 1 Shabaan 1439H (corresponding to 17 April 2018), approved cash dividends of SR 12.6 billion (SR 4.2 per share) which includes the interim cash dividends amounting to SR 6 billion (SR 2 per share) for the first half of 2017. The AGA also approved Board of Directors' remuneration of SR 1.8 million that is charged to general and administrative expenses.

The aforementioned appropriations will be reflected in the interim condensed consolidated financial statements for the period ending 30 June 2018, excluding interim dividend of SR 6 billion for the first half of 2017 which have already been accounted for.

In the opinion of management, there have been no further significant subsequent events since the period ended 31 March 2018 that would have a material impact on the financial position of the Group as reflected in these interim condensed consolidated financial statements.